INSURANCE AND PENSIONS COMMISSION

LIFE REPORT

FOR

LIFE ASSURERS

FOR THE HALF QUARTER ENDED 30 SEPTEMBER 2013

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
’13	The Year 2013
’12	The Year 2012
’11	The Year 2011
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

1.0 Table of Contents

2.0 Industry Overview

This report is based on 10 Life companies and 2 reassurance companies. The life industry wrote $188million in net premiums, a 33% growth from the comparable period last year. Total costs grew by 47% to close at $141million culminating in a $47million technical profit (September 2012: $46million).The expense and combined ratios remained very similar to the same period last year at levels of 24% and 75% respectively .

Total assets grew by 34% from $1billion last year to $1,5biillion for period ended 30 September 2013.

The life assurance industry was largely compliant with the new capital requirements for the current reporting period.

Table 1, below summarizes the key financial highlights of the life assurance industry.

Table 1: Financial Performance Indicators for Life Companies for the quarter ended 30 September 2013

Item	Life Assurers			Life Reassurers			TOTALS				
	Sep-12	Sep-13	%	Sep-12	Sep-13	%	Sep-12	Sep-13	Jun-13	Quarterly Growth	Annual Growth
GPW	140,363	186,026	33%	4,524	5,272	17%	144,887	191,298	103,669	85%	32%
NPW	137,642	183,207	33%	3,823	4,297	12%	141,465	187,504	101,294	85%	33%
Retention Ratio	98%	98%	-	84%	82%	(2%)	98%	98%	98%	0%	0%
Total Gross Claims	60,8111	94,136	55%	1,362	2,182	60%	62,172	96,318	52,533	83%	55%
Total Net Claims	60,378	93,466	55%	1,048	2,077	98%	61,693	95,543	51,756	85%	55%
Management Expenses	26,405	36,801	39%	995	1,075	8%	27,401	37,876	21,641	75%	38%
Commissions	3,917	6,321	61%	587	1,213	107%	5,105	7,534	3,344	125%	48%
Total Costs	90,700	136,588	51%	2,630	4,365	66%	95,669	140,953	77,101	83%	47%
Technical Profit	46,942	46,619	(1%)	1,193	(68)	94%	45,796	46,551	24,193	92%	2%
Expense Ratio (%)	22%	24%	2%	57%	53%	(4%)	23%	24%	25%	1%	(1%)
Combined Ratio	66%	75%	9%	69%	102%	33%	68%	75%	76%	(1%)	7%
Total Assets	1,084,636	1,453,338	34%	4,117	6,951	69%	1,088,753	1,460,289	1,432,974	2%	34%
Total Liabilities	955,274	1,208,858	27%	3,462	4,787	38%	958,736	1,213,645	1,196,111	1%	27%
Free Capital	129,362	244,480	89	655	2,164	230%	130,017	246,644	238,051	4%	90%
Capital to liability Ratio	14%	20%	6%	19%	45%	26%	14%	20%	20%	0%	-
Prescribed Asset Ratio (%)	-	1%	-	-	-	-	-	-	-	-	-

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 10 life companies. During the quarter under review, Nyaradzo Funeral Assurance Company converted its funeral license to a life assurance one whilst Fidelity Life collapsed its funeral license into the mainstream life business as a cost rationalization move.

4.0 Net Premiums Written

For the period under review, life companies wrote $183million in net premiums (September 2012:$129million).This reflected a 33% and 86% annual and quarterly growth rates respectively. This is attributable to improvements in policyholder confidence and the addition of 2 former funeral companies as highlighted above (See Table 2, below).

Table 2: Net Written Premium Distribution by Company for the quarter ended 30 September 2013

Name of Company	NPW (USD 000)			Growth	
	Jun-13	Sep-13	Sep-12	Quarterly	Annual
Altfin	1,719	2,937	3,197	71%	(8%)
Cbz	3,845	5,445	2,664	42%	104%
Evolution	233	408	491	75%	(17%)
Fidelity	4,384	8,811	5,919	101%	49%
FML	13,305	20,495	8,823	54%	132%
Heritage	653	1,009	746	55%	35%
Nyaradzo	0	33,535	0	0	0
Old Mutual	64,719	95,570	102,821	48%	(7%)
Zb Life	3,444	5,002	4,715	45%	6%
Zimnat	6,447	9,995	8,266	55%	21%
TOTAL	**98,749**	**183,207**	137,642	86%	33%

5.0 Business Composition

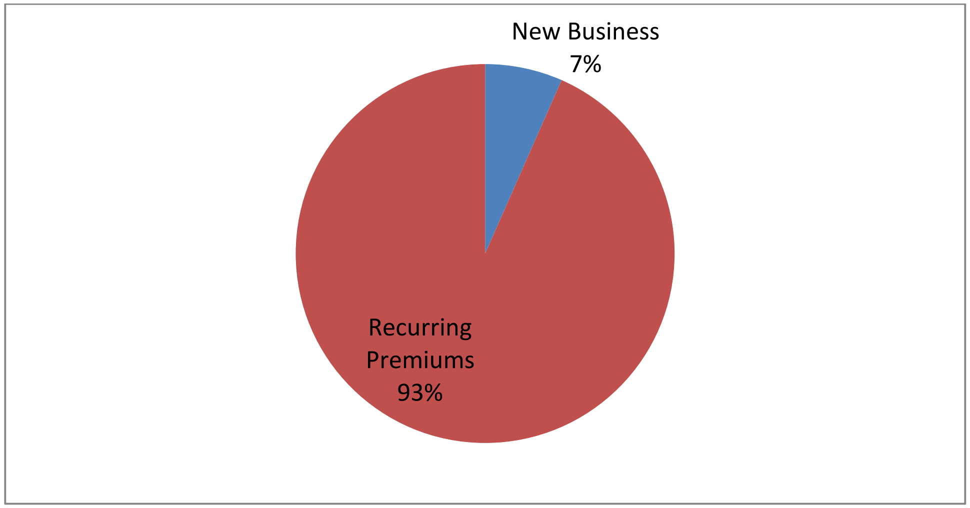
For the quarter ended 30 September 2013, the life industry wrote $186 million in gross premium terms constituted by 93% from recurring business and the balance of 7% was new business.

Corporate(employee benefit) business contributed $132 million or 71% in gross premium whilst the balance was individual lines business .This trend may be attributable to the generally low disposable incomes, more so on the part of individuals and the shift of the economy towards the informal sector(See Table 3 and Figure 1,below).

Table 3: Business Composition by Company for the quarter ended 30 September 2013

Co. Name	Individual Life ($000)						Employee Benefits ($000)						Totals ($000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums			Gross Premiums Written			Growth (%)	
	Sep-12	Sep-13	%	Sep-12	Sep-13	%	Sep-12	Sep-13	%	Sep-12	Sep-13	%	Sep-12	Sep-13	Jun-13	Quarterly	Annual
Altfin	28	38	36	315	3,119	890	11	0	-	311	211	(32)	3,612	3,368	2,005	(68)	(7)
CBZ Life	810	676	(17)	113	3,153	2690	1,640	0	-	271	1,763	551	2,834	5,592	3,942	42	97
Evolution	769	181	(76)	178	240	35	0	0	0	1,050	0	-	1,229	421	240	75	(66)
Fidelity	452	609	35	904	2,629	191	41	22	(46)	4,823	5,846	21	6,220	9,106	4,579	99	46
FML	1,813	1,292	(29)	4,978	8,188	64	93	248	167	1,939	10,952	465	8,823	20,680	13,435	54	134
Nyaradzo	0	1,075	-	0	22,334	-	0	394	-	0	9,805	0	-	33,608	-	0	-
Heritage	-	9	-	800	610	(24)	-	1	-	-	428	-	800	1,048	683	53	31
O. Mutual	414	1,845	346	2,807	3,986	42	8,349	4,257	(49)	91,250	86,062	(6)	102,821	96,150	65,073	48	(6)
Zb Life	140	843	502	706	1,315	86	-	144	-	-	3,110	-	5,027	5,412	3,647	48	8
Zimnat	610	357	(41)	238	1,193	401	366	290	(21)	7,468	8,801	18	8,681	10,641	6,839	56	23
TOTAL	**5,036**	**6,925**	38	**11,039**	**46,767**	324	**10,500**	5,356	(49)	**107,112**	**126,978**	19	**140,363**	**186,026**	**100,443**	85	33

Figure 1: Business Composition for the Quarter ended 30 September 2013



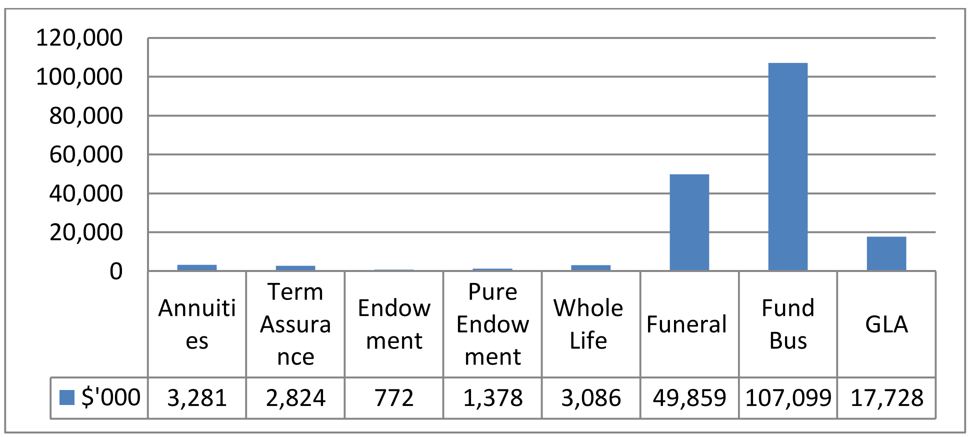
5.1 Business Composition by Policy Type

The three major classes of business were from fund business ($107million or 58%), funeral (27% or $50million) and GLA ($18million or 15%) (See Table 4 below and Figure 1 above).The Commission encourages product innovation both to dilute concentration risk and for sustainability of the industry in the long haul given the on-going changes in the socio-economic setup (See Table 4 and Figure 2,below)

Table4: Gross Premium Written by Policy Type for the quarter ended 30 September 2013

Co. Name	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	Sep-13	Sep-12	%	Sep-13	Sep-12	%	Sep-13	Sep-12	%	Sep-13	Sep-12	%	Sep-13	Sep-12	%	Sep-13	Sep-12	%	Sep-13	Sep-12	%	Sep-13	Sep-12	%	Sep-13	Sept-12	%
Altfin	33	0	-	5	0	-	0	0	-	0	0	0	0	3,612	-	0	0	-	3,330	-	-	0	-	-	3,368	3,612	(7)
CBZ Life	-	2,060	-	2,114	0	-	0	0	-	0	0	0	0	0	-	3,479	774	349	0	0	0	0	0	-	5,592	2,834	97
Evolution	0	0	-	0	0	-	-	0	-	0	0	0	104	1,050	(90)	268	179	50	0	0	0	49	0	-	421	1,229	(66)
Fidelity	53	0	-	0	0	-	654	476	37	73	11	564	331	167	98	1,944	0	-	5,869	4,864	21	182	702	(74)	9,106	6,220	46
FML	1,410	938	50	0	0	-	111	25	-	1,045	482	117	248	264	(6)	6,686	5,082	32	11,180	2,032	450	0	0	-	20,680	8,823	134
Nyaradzo	0	-	-	0	0	-		0	-		-	52	0	-	-	33,608		-		-	-	0	0	-	33,608	-	-
Heritage	9	-	-	0	*	-	7	*	-	96	-	0	0	800	-	507	-	-	429	-	-	0	-	-	1,048	800	31
O. Mutual	1,563	14,769	(89)	0	0	-	0	0	-	0	-	0	2,300	1,051	119	1,969	1,346	46	76,569	72,590	5	13,749	13,065	5	96,150	102,821	(6)
Zb Life	23	-	-	612	-	-	0	-	-	164	-	208	12	5,027	-	32	0	-	4,569	-	-	0	-	-	5,412	5,027	8
Zimnat	190	-	-	93	-	-	0	-	-	0	-	(100)	91	49	86	1,366	719	90	5,153	7,833	(34)	3,748	80	4585	10,641	8,681	23
Total	**3,281**	**17,820**	(82)	**2,824**	**0**	-	**772**	**501**	54	**1,378**	**180**	(54)	**3,086**	**12,020**	74	**49,859**	**8,100**	516	**107,099**	**87,319**	**23**	**17,728**	**13,847**	28	**186,026**	**140,363**	33

Figure 2: Gross Premium Written Business by Policy type for the quarter ended 30 September 2013



5.2.1 Not-taken Up and Lapsed Policies

The statistics showed that individual lines business recorded high lapse ratios whilst employee benefits reported negligible figures. This is a reflection of generally low disposable incomes on individuals (Table 5, below).

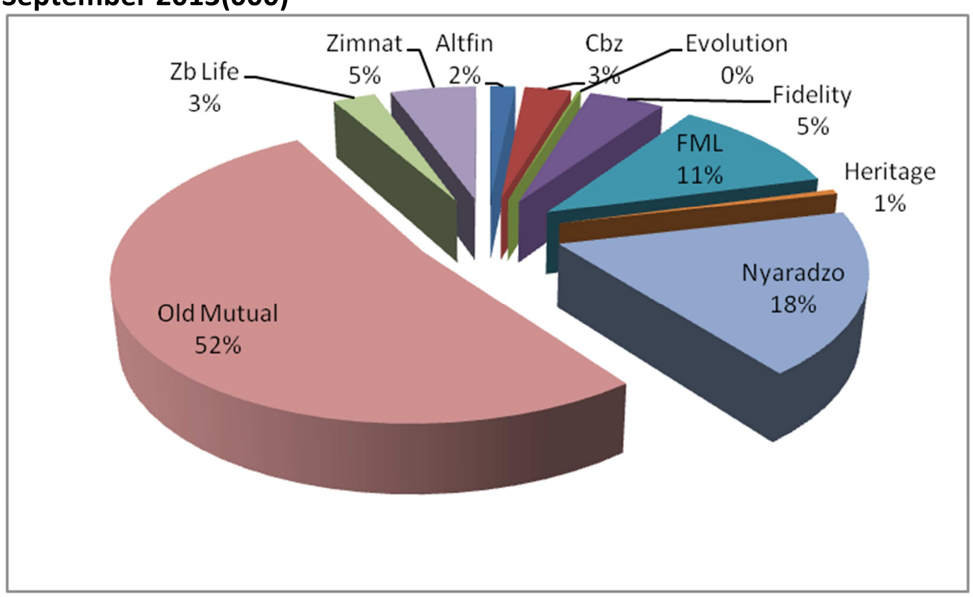
Table 5: Lapsed Policies for the quarter ended 30 September 2013

Co. Name	Lapse Ratios (%)	
	Individual	**E.B/Corporates**
Altfin	0	0
CBZ Life	15.2	0
Evolution	9.5	0
Fidelity	0	0
FML	31,8	0
Nyaradzo	4.7	6
Heritage	1.7	0
O. Mutual	10.6	0
Zb Life	27.4	0
Zimnat	13.5	0

6.0 Market Share for Life Assurers

For the period under review, 81% or $150million of the total net business was controlled by three top players. As pointed out earlier, the Commission encourages competition to be biased towards product innovation and new product development (See Table 2 above and Figure 3 below).

Figure 3: Market share for life companies by Net Written Premium for the quarter ended 30 September 2013(000)



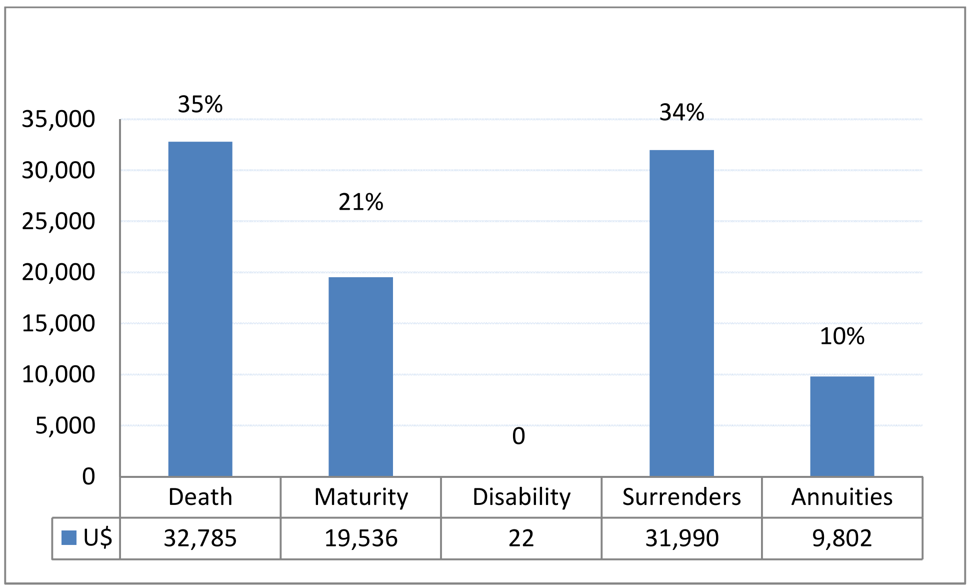
7.0 Claims Analysis

For the third quarter ended 30 September 2013, life companies paid $93million in net claims (September 2012: $60million).Total claims grew by 55% annually against premium growth rates of 33%.The major claim categories were surrenders($32million or 34%),maturity($20million or 21%) and death($33million or 35%)(See Table 6 and Figure 4 below).

Table 6: Claims Categories by Company for the quarter ended 30 September 2013 ($000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	13-Sep	Sept 12	(%)	13-Sep	Sept 12	(%)	13-Sep	Sept 12	(%)	13-Sep	Sept 12	(%)	13-Sep	Sept 12	(%)	13-Sep	Sept 12	(%)	13-Sep	Sept 12	(%)
Altfin	0	128	-	84	84	-	0	0	-	20	140	(86)	916	0	-	0	62	-	1,020	290	252
CBZ Life	1,135	229	396	0	0	-	0	0	-	0	0	-	116	0	-	0	10	-	1,251	219	471
Evolution	33	276	(88)	0	0	-	22	0	-	0	0	-	0	0	-	0	0	-	55	276	(80)
Fidelity	810	948	(15)	255	0	-	0	0	-	105	0	-	76	0	-	9	122	(99)	1,237	826	50
FML	2,449	2,204	11	1,070	0	-	0	0	-	1,193	0	-	838	0	-	-	35	-	5,549	2,169	156
Nyaradzo	16,261	-	-	0	-	-	0	0	-	0		-	0	0	-	0	-	-	16,261		-
Heritage	122	116	5	1	0	-	0	0	-	26	0	-	10		-	0	6	-	159	110	45
O. Mutual	7,446	7,404	1	17,497	13,634	28	0	0	-	30,063	23,415	28	7,772	6,551	19	250	144	74	62,529	50,860	23
Zb Life	1,044	983	6	125	67	87	0	0	-	552	1,843	(70)	74	0	-	52	25	108	1,743	2,868	39
Zimnat	3,485	2,700	29	504	87	479	0	0	-	31	0	-	0	0	-	359	27	1230	3,662	2,760	33
Total	**32,785**	**14,872**	**120**	**19,536**	**14,807**	**32**	**22**	0	-	**31,990**	**26,794**	19	**9,802**	**6,551**	**50**	**670**	**433**	**55**	**93,466**	**60,378**	55

Figure 4: Claims Categories by Company for the quarter ended 30 September 2013 ($000)



7.1 Claims Aged Analysis

For the current reporting period, the industry had outstanding claims amounting to $2million. Industry players must pay all legitimate claims in line with policy conditions and within reasonable time lines (See table 7, below).

Table7:Claims Aged Analysis by Company for the quarter ended 30 September 2013 ($000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	12	5	2	0	84	103
CBZ Life	9	0	0	0	0	9
Evolution	0	0	0	0	0	0
Fidelity	203	22	6	6	34	271
FML	149	144	9	108	699	1,109
Nyaradzo	0	0	0	0	0	0
Heritage	0	0	0	0	0	0
O. Mutual	55	0	0	0	0	55
Zb Life	11	1	70	21	106	209
Zimnat	0	0	0	0	0	0
Total	**439**	**172**	**87**	**135**	**923**	1756

8.0 Debtors Aged Analysis

For the period under review, life companies reported outstanding premiums amounting to $5million or 3% of gross written premium. Consequently, the estimated premium collection rate was 97% (See Table 8, below).

Table8: Debtors Aged Analysis by Company for the quarter ended 30 September 2013 ($000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	**121**	95	91	84	1,383	1,774
CBZ Life	**0**	118	98	0	0	216
Evolution	**38**	22	0	0	0	60
Fidelity	**445**	225	107	1,010	0	1,787
FML	**354**	126	184	0	0	664
Nyaradzo	**282**	112	72	0	0	466
Heritage	**99**	89	53	19	206	466
O. Mutual	**-**	-	-	-	-	0
Zb Life	**-**	-	-	-	-	0
Zimnat	**-**	-	-	-	-	0
Total	**1,339**	**787**	**605**	**1,113**	**1,589**	5,433

9.0 Earnings

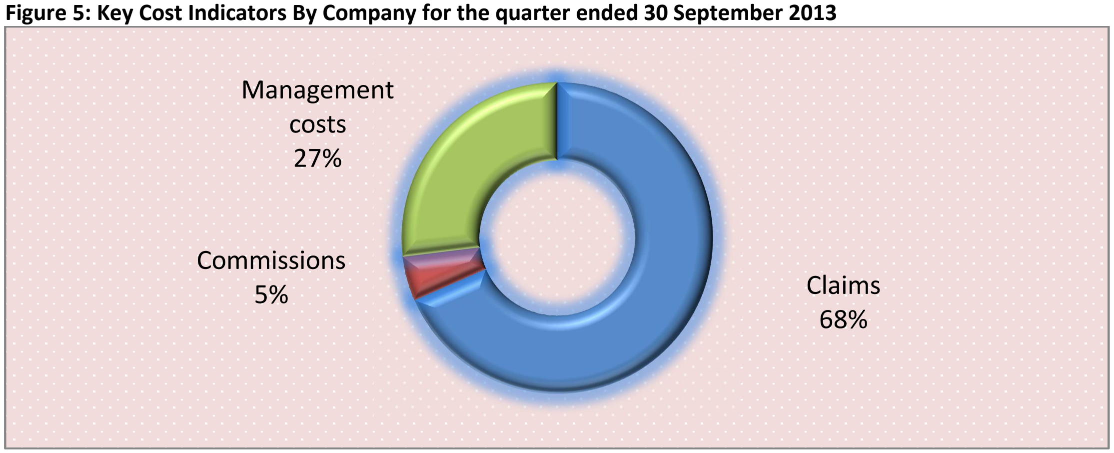
The cost drivers of in the industry were made up of claims:$93million or 68%(September 2012:$60million or 67%) ,operational expenditure accounted for $37million or 27% of total costs (September 2012:$26million or 29%) whilst commission was 5% or $6million(September 2012:4% or $4million).

The industry reported a combined ratio of $75% (September 2012:66%)(See Table 9, below and Figure 2,below). In the current environment characterized by constrained investment returns, cost management continues to be a key result area (See Table 9, below and Figure 5, below):

Table 9: Key Income and Cost Indicators By Company for the quarter ended 30 September 2013

Co. Name	NPW($000)		Claims($000)			Commissions($000)			Management Expenses ($000)			Total Costs($000)					Combined Ratio		
	Sep 13	Sept 12	Sep 13	Sept 12	Growth	Sep 13	Sept 12	Growth	Sep 13	Sept 12	Growth	Sept 12	Sep 13	Jun 13	Yearly -%	Qtly -%	Sep 12	Sep 13	13-Jun
Altfin	2,937	3,197	1,020	290	252%	271	569	(53%)	1,200	1,299	(8%)	2,158	2,491	1,310	15%	106%	68%	85%	76%
CBZ Life	5,445	2,664	1,251	219	471%	498	307	62%	1,592	700	127%	1,226	3,341	2,046	173%	63%	46%	61%	53%
Evolution	408	491	55	276	(80%)	29	154	(81%)	526	258	104%	688	610	340	(11%)	79%	140%	150%	146%
Fidelity	8,811	5,919	1,237	826	50%	289	175	65%	3,882	2,646	47%	3,647	5,408	3,073	48%	76%	62%	61%	70%
FML	20,495	8,823	5,549	2,169	156%	1,363	1,208	13%	9,619	9,642	-	13,019	16,531	8,260	27%	100%	148%	81%	62%
Nyaradzo	33,535	-	16,261	-	-	1,918	-	-	5,030		-	0	23,209	0	-	-	-	69%	0%
Heritage	1,009	746	159	110	45%	179	98	83%	493	522	(6%)	730	831	499	14%	67%	98%	82%	76%
O. Mutual	95,570	102,821	62,529	50,860	23%	1,019	499	104%	10,082	8,178	538%	59,537	73,630	51,798	24%	42%	58%	77%	80%
Zb Life	5,002	4,715	1,743	2,868	(39%)	384	484	(21%)	1,958	1,580	24%	4,932	4,085	2,606	(17%)	57%	105%	82%	76%
Zimnat	9,995	8,266	3,662	2,760	33%	371	423	(12%)	2,419	1,580	53%	4,763	6,452	4,623	35%	40%	58%	65%	72%
Total	**183,207**	137,642	**93,466**	**60,378**	55%	**6,321**	**3,917**	61%	**36,801**	**26,405**	39%	**90,700**	136,588	74,554	51%	83%	**66%**	75%	75%

Figure 5: Key Cost Indicators By Company for the quarter ended 30 September 2013



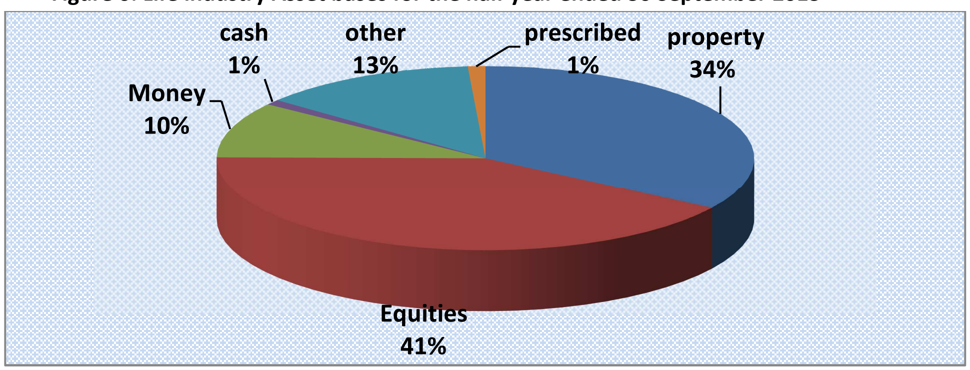
10.Asset Quality

The life assurance industries reportedly staggered their assets in properties-34% or $495million (September 2012:38% or $418million }, equities-$597million or 41% (September 2012:41% or $445million) money market-$142million or 10%(September 2012:14% or$151million), cash assets,$13million or 1% (September 2012:$8m or 1%) and other assets-$190million or 13%(September 2012: 6% or $65million).However, the prescribed asset ratio continued to be flat at 1% or $15million .The Commission has approved several paper as indicated at the end of this report(See Table 10 and Figure 6,below).

Table 10: Life industry Asset bases for the quarter ended 30 September 2013

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)				
	Sep 13	Sept 12	%	Sep 13	Sept 12	%	Sep 13	Sept 12		Sep 13	Sept 12	%	Sep 13	Sept 12	%	Sep 13	Sept 12	%	Sept 12	Sep 13	13-Jun	Qtly-%	Ann-%
Altfin	1,500	251	498	0	185	-	-340	0	-	342	208	64	1,254	706	78	0	-	-	1,350	2,756	1,403	96	104
CBZ Life	188	133	41	0	0	-	5,894	3,763	57	347	113	207	681	104	555	504	165	205	4,113	7,614	7,013	9	85
Evolution	35	31	13	0	0	-	269	137	96	26	-	-	2,657	2,111	26	0	-	-	2,279	2,987	2,589	15	31
Fidelity	21,214	19,499	9	6,349	5,220	22	3,925	4,216	(7)	830	465	78	7,775	2,889	169	0	-	-	32,289	40,093	35,970	11	24
FML	0	0	-	26,480	19,488	36	9,851	9,824	-	1,971	757	160	132,619	45,992	188	1,737	-	-	76,061	172,658	172,304	-	127
Nyaradzo	17,491	-	-	109	-	-	3,498	-	-	3,044	-	-	8,255	-	-	200	-	-	-	32,597	-	-	-
Heritage	637	611	4	22	29	(24)	1,587	57	2684	45	1,797	(97)	407	-	-	0	-	-	2,521	2,698	2,625	3	7
O. Mutual	435,460	378,471	15	529,445	392,021	35	110,807	122,530	(10)	5,714	3,440	66	25,468	12,320	107	12,293	-	-	908,782	1,119,187	1,133,665	(1)	23
Zb Life	3,433	3,940	(13)	22,552	19,237	17	1,997	1,568	27	113	250	(55)	2,207	1,305	69	413	-	-	26,300	30,715	29,911	3	17
Zimnat	15,440	14,628	6	12,115	9,204	32	4,888	6,548	(25)	806	561	44	8,565	-	-	219	-	-	30,941	42,033	40,551	4	36
Total	**495,398**	**417,564**	19	**597,072**	**445,385**	34	**142,376**	**150,755**	(6)	**13,238**	**7,591**	74	**189,888**	**65,427**	190	**15,366**	-	-	1,084,636	1,453,338	**1,426,031**	2	34

Figure 6: Life industry Asset bases for the half year ended 30 September 2013



11. Capitalization, Solvency and Liquidity Trends

As at 30 September 2013, Life companies were largely capitalized as prescribed by Statutory Instrument 21 of 2013 (See table 11 below).The

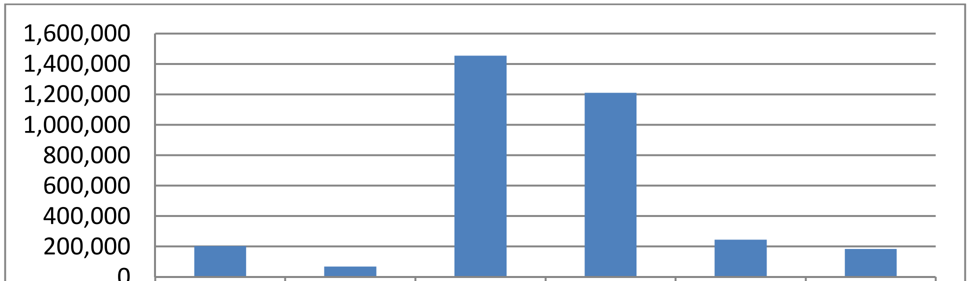
Commission is working with the undercapitalized player in order to ensure full compliance.

The industry reported capital to liability and liquid ratios of 20% and 294% respectively (See Table 11, below). Emerging international best practices, likely to be adopted in the medium to long term particularly Solvency II, prescribes capital levels which are directly proportional to liability. Although the industry is largely adequately capitalized in terms of current legislation, players are encouraged to consider embracing such practices as a strategic planning measure.

Table 11: Capitalization, Solvency and Liquidity Trends (000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			*Capital to NPW Ratio (%)*		
	Sep 13	**Sept 12**	%	**Sep 13**	**Sept 12**	%	**Sep 13**	**Sept 12**	**Sep 13**	**Sept 12**	%	**Sep 13**	**Sept 12**	%	**Sep 13**	**Sept 12**	**Sep 13**	**Sept 12**	%	**Sep 13**	**Sept 12**	%	**Sep 13**	**Sept 12**	*%*
Altfin	1,013	9,099	-89	1,543	1,430	8	2,755	1,350	2,280	1,842	24	475	(492)	97	2,937	1,719	21	(73)	52	90	636	-546	16	(85)	69
CBZ Life	7,424	4,165	78	1,282	643	99	7,614	4,113	2,320	2,164	7	5,293	1,949	172	5,445	3,845	228	90	138	352	648	-296	97	73	24
Evolution	419	331	27	401	188	113	2,987	2,279	579	356	63	2,408	1,923	25	408	233	416	540	124	104	176	-72	590	392	198
Fidelity	12,530	7,571	65	5,058	5,660	-11	40,093	32,289	31,517	24,697	28	8,576	7,592	13	8,811	4,384	27	31	(4)	248	134	114	97	128	(31)
FML	21,445	12,898	66	6,048	3,485	74	172,658	76,061	105,303	67,384	56	67,355	8,677	676	20,495	13,305	64	13	51	370	370	-	329	98	231
Nyaradzo	14,870	-	-	28,569	-	-	32,597	0	30,336	-	-	2,262	-	-	33,535		7	-	-	49	-	-	7	-	-
Heritage	1,926	1,797	7	180	200	-10	2,697	2,521	359	425	(15)	2,338	2,096	11	1,009	746	651	493	158	1126	899	227	232	281	49
O. Mutual	136,850	125,921	9	22,502	8,125	177	1,119,188	908,782	979,245	811,855	21	139,943	96,927	44	95,570	102,821	14	12	2	607	1550	-943	146	94	52
Zb Life	2,819	2,487	13	986	922	7	30,715	26,300	25,058	22,550	11	5,657	3,750	51	5,002	4,715	23	17	6	292	270	22	113	80	33
Zimnat	2,026	1,485	36	1,794	1,871	-4	42,033	30,941	31,861	24,001	33	10,172	6,940	47	9,995	8,266	32	29	3	141	79	62	102	84	18
Total	**201,322**	**165,754**	**21**	**68,363**	**22,524**	**203**	1,453,338	1,084,636	**1,208,858**	**955,274**	**27**	**244,479**	**129,362**	**27**	**183,207**	129,376	20	14	1	294	736	-442	33	97	269

Figure 7: Capitalization, Solvency and Liquidity Trends



	Current Assets	Current Liabilities	Total Assets	Total Liabilities	Capital (Net Assets)	NPW
$'000	201,322	68,363	1,453,338	1,208,858	244,479	183,207

12.Reinsurance

The industry reported a high retention ratio. Due to the fact that premium figures include non-risk items like fund business, we were unable to publish the compromised figures. The Commission will revamp its quarterly template to reflect this anomaly. We however encourage players to prudently reinsure on all risk business above their underwriting limits given the current trends of rising claims experience.

Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 life reassurers.

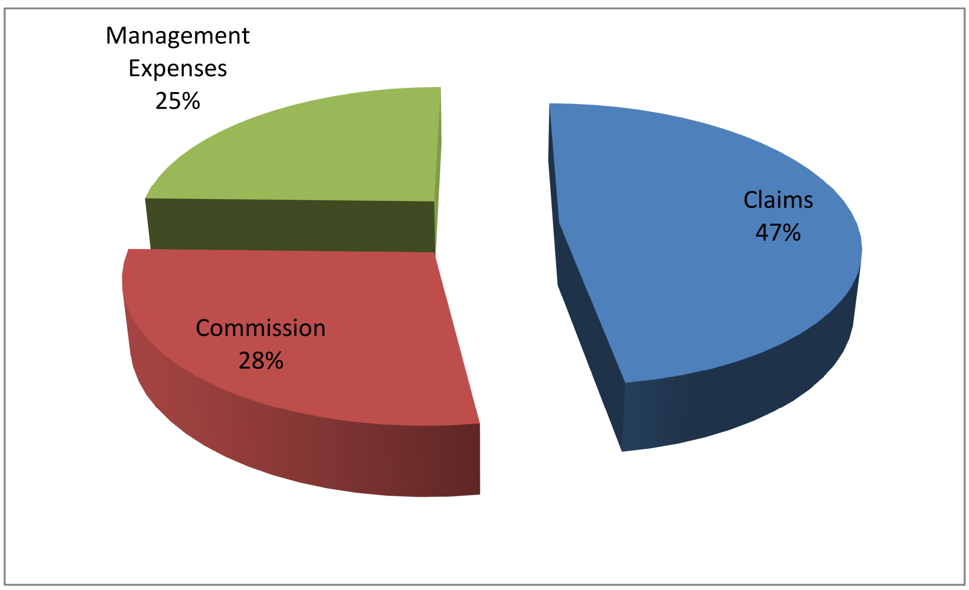
2.0 Business Written

Table 1 below, shows that there was a 12% annual growth rate to close at $4million in cumulative net business for the 2 players.

Table 1: Key Performance Indicators for the quarter ended 30 September 2013(000)

Item	Baobab Re			FM Re			Total		
	Sep-13	Sept 12	%	Sep-13	Sept 12		Sep-13	Sept 12	%
Gross Premium Written	3,818	3,184	20%	1,454	1,340	9%	5,272	4,524	17%
Net Premium Written	3,026	2,611	16%	1,271	1,211	5%	4,297	3,822	12%
Net Claims Incurred	1,483	408	263%	594	640	(7%)	2,077	1,048	98%
Net Commission Incurred	925	374	147%	288	213	35%	1,213	587	107%
Management Expenses	660	607	9%	415	388	7%	1,075	995	8%
Total Costs	3,068	1,389	121%	1,297	1,241	5%	4,365	2,630	66%
Underwriting Profit	(42)	1,222	(97%)	(26)	(30)	(13%)	(68)	1,192	(94%)
Combined Ratio	101%	53%	50%	102%	102%	-	102%	69%	33%

Figure 1: Cost Drivers For The Reassurers for the quarter ended 30 September 2013



3.0 Earnings

For the current review period, cost grew by 66% whilst net premium inflows rose by 17% to $3.8million.This imbalance resulted in a $68 000 underwriting loss. The combined ratio was 102%,a 33% increase from the same period last year(See Table 1 and Figure 1 above).

4.0 Capitalization and Solvency

For the current reporting period, both reinsurers were fully compliant with the new minimum capital requirements in line with Statutory Instrument 21 of 2013(See Table 2, below).

Table 2: Key Performance Indicators for the half year ended 30 September 2013(000)

Item	Baobab Re			FM Re			Total		
	Sep-13	Sept 12	%	Sep-13	Sept 12	%	Sep-13	Sept 12	%
Current Assets	3,237	1,921	69%	1,787	342	423%	5,024	2,263	122%
Total Assets	4,584	3,379	36%	2,367	738	221%	6,951	4,117	69%
Current Liabilities	701	493	42%	548	454	21%	1,249	947	32%
Total Liabilities	3,715	2,593	43%	1,072	869	23%	4,787	3,462	38%
Capital	869	786	11%	1,295	(131)	889%	2,164	655	230%
Prescribed Assets	30	0	-	0	0	-	30	-	-
Prescribed asset Ratio	1%	0	-	0	0	-	0	-	-
Current Ratio	462%	290%	172%	326%	75%	251%	402%	239%	163%
Capital to liability ratio	23%	30%	(7%)	121%	(11%)	232%	45%	19%	26%
Net premium written	3,026	2,611	16%	1,271	1,241	2%	4,297	3,822	12%
Capital to Net premium written ratio	**29%**	30%	**(1%)**	**102%**	(11%)	**113%**	**50%**	17%	**33%**

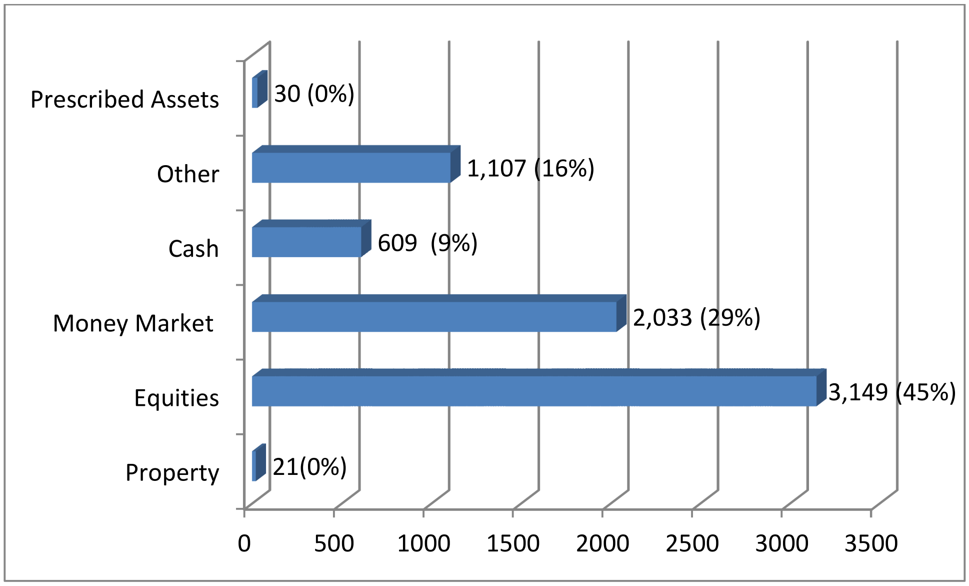
5.0 Asset Quality

As at 30 September 2013, the bulk of the assets were held in equities - 45%, money- 29% and 16% which was invested in other investments. Players must be guided by actuarial input and statutory guidelines in order to achieve the right asset- liability mix (See Table 3 and Figure 2, below) .

Table3: Total Assets for Reassurers for the quarter ended 30 September 2013

Asset Type	Baobab Re			FM Re			Total		
	Sept-13	Sept 12	%	Sept-13	Sept 12	%	Sept-13	Sept 12	%
Fixed Property (000)	0	0	-	21	**36**	(42%)	21	**36**	(25%)
Equities (000)	2,591	507	411%	558	**347**	61%	3,149	**854**	269%
Money Market (000)	635	979	(35%)	1,398	**90**	1453%	2,033	**1,069**	90%
Cash (000)	558	435	28%	51	**24**	113%	609	**459**	33%
Other Investments (000	769	1,458	(47%)	338	**241**	40%	1,107	**1,699**	(35%)
Prescribed Assets	30	-	-	0	**-**	-	30	**30**	-
Total Assets (000)	**4,584**	**3,379**	**36%**	**2,367**	**738**	**221**	**6,951**	**4,117**	**67%**

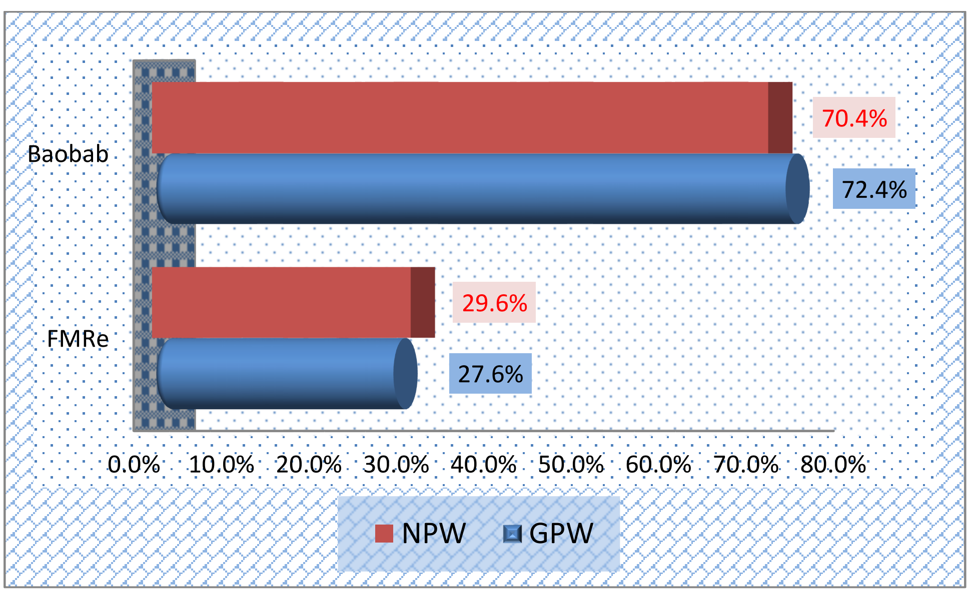
Figure 2: Total Assets for Reassurers for the quarter ended 30 September 2013($000)



6.0 Market Share

As shown below, Baobab Life and Health holds 70% of the market share with the FM Re Life and Health getting the balance (See Figure 3,below).

Figure 3: Market share For Reassurers for the half year ended 30 June 2013



7.0 Prescribed Assets

Out of a minimum level of 7.5%,the industry's uptake of prescribed paper was 1%. Players are however required to participate as availability improves to avoid statutory penalties (See Table 8 and 9).

Table 9: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Old Mutual	DIMAF:$27 million	Funding distressed and marginalized industries	5years	10%	2 January 2013
CBZ	AMA Bills	Funding 2013/4 Soya bean farming	272 days	10.5%	4 October 2013
NMB	SME:$50 million	Funding small to medium enterprises	2years	10%	3 October 2013
FBC /Agribank	Agrobills :$15million	Funding 2013/4 Soya bean farming	360days	10%	4 October 2013

8.0 Acts, Statutory Instruments and Circulars

For the quarter under review the Commission circulated or issued the following Act,circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 11: Issued Acts, Circulars and Statutory Instruments for the year ended 30 September 2013

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt9:24	A Money Laundering and Proceeds Of Crime Act	June 2013
Circular No.6 of 2013	Insurance and Housing Pension Fund	27 June 2013
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013